SYLLABUS
FI 542E
EXCHANGE MARKETS

ACADEMIC AREA	:	**FINANCE, ACCOUNTING AND ECONOMICS**
PROGRAMME(S)	:	**MSc IMGT**
INSTRUCTOR	:	**Dr. Taoufik BOURAOUI (taoufik.bouraoui@rennes-sb.com)**
CONTACT HOURS / FORMAT	:	**24 hours / 8 x 3 hours**
OFFICE HOURS	:	**To be announced**
STUDY TIME	:	**120 hours**
CREDITS	:	**4 ECTS** **This is equivalent to 24 hours of in-class activities and 120 hours outside class (Class preparation, homework and assessment)**

PRE-REQUISITE MODULES:
A course or experience in corporate finance or financial management.

MODULE OBJECTIVES:
This module aims to provide students with a comprehensive understanding of foreign exchange markets, including how exchange rates are determined and the factors that influence their fluctuations, such as environmental, social, and governance (ESG) considerations. Additionally, the course covers currency derivatives and their use in hedging exchange rate risk. To enhance students' professional credentials, this module offers the opportunity to obtain the Bloomberg Market Concepts (BMC) certification at no cost. Recognized internationally, the BMC certification is highly regarded in the finance industry and equips students with essential skills for the global financial markets.

CONTRIBUTION TO PROGRAMME OBJECTIVES:
2.2 Integrate disciplines and deep knowledge to Create innovative solutions
#CreateSolutions

MODULE INTENDED LEARNING OUTCOMES (ILOs):
By the end of the module the student will be able to:
1. Explain the differences between foreign exchange spot and forward markets.
2. Demonstrate the ability to estimate and forecast foreign exchange rates using the relevant theories and models.
3. Explain the concepts of international parity relations, such as interest rate parity and purchasing power parity.
4. Understand exchange rate exposure for a multinational corporation.
5. Use currency derivatives to hedge currency risk.
6. Have an understanding of derivatives which include ESG component to promote environmental, social and governance performance.

TOPICS COVERED:
- Types of exchange rates;
- Arbitrage;
- Speculation;
- International parity theories;
- Currency derivatives
- Hedging exchange risk

RESEARCH-LED TEACHING

Existing research on determinants of exchange rates is integrated in designing the content of FI525E Exchange Markets. For instance, the empirical results of Bouraoui and Hammami (2017)(1) show that political instability, through the mechanism channel of economic growth, has a significant impact on the value of domestic currencies in Arab spring countries.

(1): Taoufik Bouraoui & Helmi Hammami (2017). Does political instability affect exchange rates in Arab Spring countries?, Applied Economics, 49:55, 5627-5637, DOI: 10.1080/00036846.2017.1319561

CSR AND SUSTAINABLE DEVELOPMENT GOALS

This course addresses ESG (Environmental, Social, Governance) concepts in the following ways:

- Currency prices may be driven by ESG (Environmental, Social, Governance) factors, given the importance they have nowadays. Investors integrate country-level ESG score to decide whether they invest in one currency.
- Ethical responsibilities are linked to transparency and fair conduct. For example, some derivatives are traded on organized market (Futures), and investors have to adhere to the terms of the contract (including responsibility to execute the contract for exp).
- Derivatives include now ESG component to promote environmental, social and governance performance. Companies that use ESG-linked derivatives receive a more favorable rate if they meet environmental, social and/or governance targets.

HOURS CONCERNING CSR AND SUSTAINABLE DEVELOPMENT

CSR and sustainable development- related topic is discussed in sessions 4 and 6. Approximately, 1 hour is devoted to this topic.

SUSTAINABLE DEVELOPMENT GOALS COVERED

The Sustainable Development plan (the 2030 agenda) recognizes international trade (imports, exports) as an engine for inclusive economic growth and poverty reduction. Therefore, the sustainable development goals covered are:

SDG 1: no poverty

SDG 8: decent work and economic growth

TEACHING METHODS:

This course incorporates an **experiential learning** component through a PPP (Purchasing Power Parity) Project (project-based learning), where students work in groups to analyze real-world economic conditions. By selecting two countries and examining relevant macroeconomic data, students engage in hands-on application of theoretical concepts. This activity enhances critical thinking, problem-solving, and data analysis skills while bridging the gap between classroom knowledge and real-world economic scenarios. Through collaborative work and practical investigation, students gain deeper insights into how economic theories operate in practice.

METHODS OF ASSESSMENT:

Assessment	Individual /Group	Type (oral, written)	Length of exam (when applicable)	Weight %	ILOs assessed
Quiz	Individual	Written	15 min	20%	ILOs 1, 2
Mid-term exam	Individual	Written	1 hour	40%	ILOs 1, 2, 3, 4
Final exam	Group	Written (Report)	Home exam: the deadline for submission will be communicated in class	40%	All ILOs
Optional : Bloomberg Markets Concepts (BMC) certification	Individual	Written	8 hours (self-paced)	Bonus	-

- **Assessment 1 (quiz)** is multiple choice questions.
- **Assessment 2 (mid-term exam)** consists of understanding questions and exercises.

- **Assessment 3 (report):** students in this assessment are required to collect data on one of the concepts covered in the course, and analyze and interpret results.
- **Bloomberg Market Concepts (BMC)** is an 8-hour self-paced e-learning course that provides a visual introduction to the financial markets. BMC consists of eight modules: Economic indicators, Currencies, Fixed Income, Equities, Terminal Basics, Commodities, Equity Options and Portfolio Management. Only the first four core modules (Economic indicators, Currencies, Fixed Income and Equities) are mandatory to obtain the certificate.

BMC bonus: taking the BMC is optional. Students who complete the four core modules by March 15, 2026 will be awarded, in addition to BMC Certificate, additional points to the quiz grade as follows:

- Currencies score between 90 – 100: + 6 points
- Currencies score between 40 – 89: + 4 points
- Currencies score below 40: + 2 points

To register for BMC, a class code is required. The class code for FI525E Exchange Markets is **MNZWL8SHGJ**. This code is restricted to only students who are enrolled in the course FI542E_MSc Exchange Markets.
Further instructions on how to register and complete the BMC will be provided.

ACADEMIC INTEGRITY:

Plagiarism is copying another's work or ideas. This includes sections (sentences, tables, diagram) of books or articles, another student's work or text, diagram, data from the internet without proper referencing etc. Adding your name to group work in which you have not participated or letting a student who has not participated add his/her name to work is also considered as an offence and will lead to disciplinary action for all involved.
Plagiarism in any assessed work (continuous assessment, examinations and projects) is considered as a serious offence and will lead to disciplinary action.
Other forms of academic dishonesty are subject to disciplinary sanctions. Academic dishonesty, other than plagiarism may take any number of forms such as submission of the work more than once whether the earlier submission was at another institution, unless prior approval has been obtained, cheating on an examination, aiding another student's dishonesty, unauthorized or inappropriate use of computers, calculators and other forms of technology in course work, assignments or examinations.

BIBLIOGRAPHY:

■ **Recommended Textbook:**

- Eiteman, D. et al. (2015). *Multinational Business Finance.* (14th edn). Pearson. **(*)**

■ **Other Reading:**

- Kirt C. Butler, K. (2016). *Multinational Finance.* (6th edn). John Wiley & Sons.
- Levi, M. (2009). *International Finance*. (5th edn). Routledge.
- Copeland. L. (2014). *Exchange Rates and International Finance.* (6th edn). Pearson. **(*)**

*** [eBook available]**

MODULE PLAN SESSION
FI 542E_MSC

SESSIONS	TOPICS	READING/ ASSIGNMENTS TO BE DONE BEFORE CLASS
1	- What is the FOREX? - Characteristics of the FOREX - Market participants - Exchange rate systems - Exchange rates - Concepts of appreciation and depreciation	Exercise 1
2	- Bid and Ask quotations - Real Exchange Rate - Spot and Forward rates - Cross rates	Reviewing the lecture and solved exercises of session 1
3	- Intermarket arbitrage - Intermarket arbitrage with bid-ask quotes - Triangular arbitrage - Triangular arbitrage with bid-ask quotes	Reviewing the lecture and solved exercises of session 2
4	- Factors affecting exchange rates (ESG factors, inflation rate, interest rate, …etc) - Absolute PPP - Relative PPP - Deviations from PPP	Reviewing the lecture and solved exercises of session 3
5	- Interest Rate Parity (IRP) - Covered IRP - Uncovered IRP - Deviations from IRP	Reviewing the lecture and solved exercises of session 4
6	- Hedging foreign exchange risk - Types of foreign exchange exposure - Long & Short exposures - Hedging instruments: Forward markets - Forward purchase contract - Forward sale contract - Advantages & disadvantages of forward contracts - ESG-linked FX forwards	Reviewing the lecture and solved exercises of session 5
7	- Foreign currency Futures - Long and Short hedge - Marking to market process - Closing out a futures position - Currency swaps	Reviewing the lecture and solved exercises of session 6
8	- Hedging instruments: Currency options	Reviewing the lecture and solved exercises of session 7